AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS (THEORY) 2025

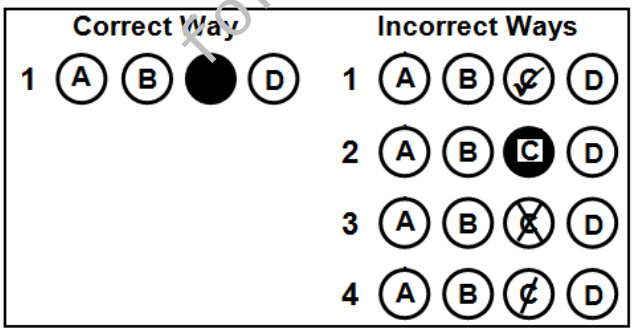
Principles of Accounting Paper I

Time: 55 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Areej has provided the following details related to her assets, liabilities and capital:

Account Title	Amount (Rs)
Machinery	100,000
Equipment	80,000
Trade (account) payables	40,000
Trade (account) receivables	25,000
Inventory	15,000
Borrowings from friend	65,000
Capital	150,000
Bank	?

With reference to accounting equation, Areej's bank balance would be

A. Rs 35,000
B. Rs 95,000
C. Rs 255,000
D. Rs 510,000

2. Which of the following is NOT considered as a stakeholder with reference to accounting information?

A. Investor
B. Creditors
C. Honorary workers
D. Government officials

3. Mahnoor has been appointed as a bookkeeper by a Step-Next Shoe Store.

The key task of Mahnoor would be to

A. prepare financial statements.
B. detect and correct year-end errors.
C. maintain double entry transactions.
D. take decisions on merger and take over.

4. Which of the following CORRECTLY depicts the rules of debit and credit?

	Debit	Credit
A	Increase in liability	Increase in revenue
B	Decrease in expense	Decrease in asset
C	Increase in asset	Increase in liability
D	Increase in revenue	Decrease in expense

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5. Absa Traders sold goods of Rs 10,000 on credit. Of this amount, Rs 4,000 was received, whereas the remaining amount is outstanding.

   At the time of preparing financial statements at the end year (i.e., Dec 31), Absa Traders recorded sales revenue as Rs 10,000.

   The accounting principle that requires the business to record the sales of Rs 10,000 is known as

   A. cost concept.
   B. accrual principle.
   C. dual entry concept.
   D. consistency principle.

6. Following bank account appeared in the books of Asaish Carpets.

		Debit (Rs)	Credit (Rs)	Balance (Rs)
June	01 Balance			11,000 Dr.
	14 Cash sales bank	30,000		
	16 Zafar Traders		10,000	**?**
	18 Bank charges		500	

   What would be the bank balance of Asaish Carpets on June 16?

   A. Rs 19,000
   B. Rs 29,000
   C. Rs 30,500
   D. Rs 31,000

7. Azam Traders started its business on January 01, 2022. During the month, the business completed the following transactions.

   - Opened a bank account by depositing Rs 35,000
   - Bought furniture and issued cheque Rs 8,000
   - Purchased goods worth Rs 9,000 on cash
   - Sold goods worth Rs 12,000 and received a bank transfer

   The ending balance of bank account for the month of January 2022 is

   A. Rs 27,000
   B. Rs 31,000
   C. Rs 35,000
   D. Rs 39,000

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8. The following account appears in the ledger of Abrish Associates:

Ayat Traders					
Date	**Particulars**	**Amount (Rs)**	**Date**	**Particulars**	**Amount (Rs)**
Jan 1	Balance b/d	10,000	Jan 10	Bank	10,000
Jan 20	Sales	40,000	Jan 31	Balance c/d	40,000
		50,000			50,000

Based on the given information, which of the following statements is TRUE?

A. On January 01, Ayat Traders had to receive Rs 10,000 from Abrish Associates.
B. On January 10, Abrish Associates paid Rs 10,000 into the bank account of Ayat Traders.
C. On January 20, Ayat Traders bought goods from Abrish Associates worth Rs 40,000.
D. On January 31, Abrish Traders had to pay Rs 40,000 from Ayat Traders.

9. Trial balance is a financial document that is prepared to

A. detect errors in financial statements.
B. have an evidence of accounting data.
C. assist management in further decision making.
D. check mathematical accuracy of the accounting data.

10. The KEY benefit of self-balancing form (running balance form) of ledger is that it

A. is maintained by all the bookkeepers.
B. shows the balance after every transaction.
C. shows the balance only at the end of the month.
D. is maintained to show the transactions related to sales only.

11. The accounting equation that is baseline for preparing the statement of financial position (balance sheet) is

A. net sales – cost of sales = gross profit
B. total assets = total liabilities + capital
C. sum of debit balances – sum of credit balances = capital
D. opening inventory + net purchases – ending inventory = cost of sales

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12. Ramsha Traders bought furniture for Rs 175,000 on credit from Taiba Interiors.

Which of the following CORRECTLY represents the effect of the given transaction in the books of Ramsha Traders?

	Assets	Liabilities
A	Increase	Increase
B	Decrease	Decrease
C	Decrease	Increase
D	Increase	Decrease

13. Following is the extract of statement of financial position (balance sheet) of a business:

Assets	Amount (Rs)
Non-current assets (fixed assets)	400,000
Current assets	200,000
Total assets	**600,000**
Equity	**Amount (Rs)**
Long term liabilities	100,000
Current liabilities	250,000
Total Liabilities	**350,000**
Total Capital	250,000
Total Equity and Liability	**600,000**

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If the business paid Rs 20,000 as advance salary, then the account heads of the statement of financial position (balance sheet) for the business would be reflected as

	Total Assets	Total Capital	Total Liabilities
A	Rs 680,000	Rs 250,000	Rs 430,000
B	Rs 600,000	Rs 330,000	Rs 350,000
C	Rs 680,000	Rs 330,000	Rs 350,000
D	Rs 600,000	Rs 250,000	Rs 350,000

14. With reference to the books of accounts, which of the following is CORRECT about cash book?

    A. It's a prime book and a ledger account.
    B. It's a data entry book and a ledger account.
    C. It's a sales day book and a subsidiary ledger.
    D. It's a purchases day book and a subsidiary ledger.

15. The column that is used for marking contra entry is

    A. discount column.
    B. bank column.
    C. cash column.
    D. P.R column.

16. Azlan bought goods in bulk quantity from Zartash. Zartash allowed a cash discount of 5% to Azlan. The payment made in 20 days of the credit term.

    In the books of Azlan, the given discount would be

    A. reflected in the balance sheet.
    B. reflected in the petty cash book.
    C. posted on the receipt side of the cashbook.
    D. posted on the payment side of the cashbook.

17. With reference to the books of prime entry, the book that is PRIMARILY used to record a business transaction (i.e., either credit or cash or both type of transactions) is identified as

    A. cash book.
    B. general journal.
    C. purchases day book.
    D. sales (revenue) day book.

18. Hafeez sold goods to Saeed at a list price of Rs 4,200 on March 15, 2022. The sold goods were subject to a trade discount of 10% and a cash discount of 3% for the payment within 28 days.

    If Saeed pays the amount on April 15, 2022, then the net value of sales (revenue) in the books of Hafeez would be

    A. Rs 3,654
    B. Rs 3,667
    C. Rs 3,780
    D. Rs 4,074

19. Where are the 'contra set-off' and 'opening balances' posted on purchases ledger control account?

    A. Both are posted on debit side.
    B. Both are posted on credit side.
    C. Contra set-off is posted on debit side whereas opening balance is on credit side.
    D. Contra set-off is posted on credit side whereas opening balance is on debit side.

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20. Which of the following items is posted on the debit side of the sales ledger control account?

    A. Bad debts (doubtful debts)
    B. Discount allowed
    C. Dishonoured cheques
    D. Cash received from customers

Use the given information to answer Q.21 and Q.22.

Zainab sells goods with a list price of Rs 100,000 on credit to Zeeshan Traders. She allows a trade discount of 10% and a further cash discount of 2% if the payment is made within 15 days of sales.

21. If Zeeshan Traders makes the payment on the 15th day of purchase, then the payment amount would be

    A. Rs 88,000
    B. Rs 88,200
    C. Rs 90,000
    D. Rs 98,000

22. At the time of purchase, this information will be recorded in the books of Zainab as

	Journal	Account to be Debited	Account to be Credited
A	Sales Journal	Zeeshan Traders Rs 100,000	Sales Rs 100,000
B	Purchase Journal	Purchases Rs 100,000	Zeeshan Traders Rs 100,000
C	Sales Journal	Zeeshan Traders Rs 90,000	Sales Rs 90,000
D	Purchase Journal	Purchases Rs 90,000	Zeeshan Traders Rs 90,000

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23. Which of the following statements is TRUE for capital expenditures (extraordinary expenditures)?

    A. It is not repetitive in nature.
    B. It does not increase the life of an asset.
    C. It does not change the production capacity of the asset.
    D. It is not incurred to bring the asset to its working location.

24. The following provision account appears in the books of the Ayesha Traders:

Provision (Allowance) for Depreciation on Equipment					
Date	**Particulars**	**Amount**	**Date**	**Particulars**	**Amount**
			Jan 01	Balance b/d	30,000
Dec 31	Balance c/d	50,000	Dec 31	**Income Statement**	**20,000**
					50,000

What does Rs 20,000 mean in the given ledger?

A. This is the income for the year.
B. This is the amount of depreciation expense for the year.
C. This is the amount of increase in the value of equipment.
D. This is the provision that will be shown in the statement of financial position.

25. Which of the following equations CORRECTLY represents the cost price of a non-current (fixed) asset?

A. cost price = purchase price + capital expenditures (extra ordinary expenditures)
B. cost price = purchase price + revenue expenditures (ordinary expenditures)
C. cost price = purchase price – capital expenditures (extra ordinary expenditures)
D. cost price = purchase price – revenue expenditures (ordinary expenditures)

Use the given information to answer Q.26 and Q.27.

Anabia Traders bought a machinery costing Rs 300,000 on January 01, 2021. The estimated life of the machine is 5 years, whereas the estimated scrap value (salvage value) of the machine is Rs 25,000 at the time of purchase.

26. If the business uses straight line method (fixed instalment method) for charging depreciation, then the book value of the machine as on December 31, 2022 would be

A. Rs 55,000
B. Rs 110,000
C. Rs 190,000
D. Rs 245,000

27. If Anabia Traders uses straight line method (fixed instalment method) of charging depreciation, then the annual rate (percentage) of depreciation would be

A. 5%.
B. 10%.
C. 20%.
D. 40%.

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Use the given information to answer Q.28 and Q.29.

Following are the details related to Amina Associates:

Account Title	**Amount (Rs)**
Machinery acquisition (purchase) on January 01, 2021)	280,000
Provision (allowance) for depreciation (as on January 01, 2022)	42,000
Trade receivables (account receivables) (as on December 31, 2022)	38,500
Provision (allowance) for bad debts (doubtful debts) (as on January 01, 2022)	700

It is the policy of the Amina Associates to depreciate machinery by using diminishing balance method (reducing balance method) and to charge allowance (provision) for bad debts (doubtful debts) at 2% of trade receivable balance.

28. If a customer debt of Rs 1,500 was written off on December 31, 2022, then the general journal entry for the allowance (provision) for bad debts (doubtful debts) would be made by

    A. Rs 770
    B. Rs 1,470
    C. Rs 1,570
    D. Rs 2,370

29. The accounting principles based on which both the allowances (provisions) are charged are

    A. matching and prudence.
    B. double entry and historical cost.
    C. business entity and consistency.
    D. going concern and double entry.

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30. At the end of the year, Al Jannat Associates had written off an amount of Rs 12,000 to receive from a customer.

The general journal entry that will be made to write off the customer's account directly would be

	Particulars	P.R.	Debit	Credit
A	Provision (allowance) for bad debt (doubtful debts)		12,000	
	Trade receivable (account receivable)			12,000
B	Bad debt (doubtful debts) expense		12,000	
	Provision (allowance) for bad debt (doubtful debts)			12,000
C	Trade receivable (account receivable)		12,000	
	Bad debt (doubtful debts) expense			12,000
D	Provision (allowance) for bad debt (doubtful debts)		12,000	
	Bad debt (doubtful debts) expense			12,000

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